



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2055: brackish groundwater recovery program

GRIFFIN FLOOR AMENDMENT

1. Removes the Long-Term Water Augmentation Fund as an eligible source for monies to be used for the Brackish Groundwater Recovery Program (Program). (Sec. 2)
2. Specifies that matching dollars for qualified projects must be outside the boundaries of an initial Active Management Area. (Sec. 2)
3. Removes deadlines regarding the request for proposals, evaluation of projects and adoption of rules relating to the Program. (Sec. 2)
4. Prohibits the granting of monies from the Program Fund without first issuing a request for proposal. (Sec. 2)
5. Makes technical changes. (Sec. 2)

GRIFFIN FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2055
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 49-1303, Arizona Revised Statutes, is
3 amended to read:

4 49-1303. Long-term water augmentation fund; purposes; limit

5 A. Monies and other assets in the long-term water augmentation fund
6 may be used for the following purposes:

7 1. Funding water supply development projects that import water from
8 outside the boundaries of this state. At least seventy-five percent of
9 the monies in the fiscal years 2022-2023, 2023-2024 and 2024-2025
10 appropriations to the fund shall be reserved for one or more projects with
11 this purpose, and those monies shall be accounted for separately.

12 2. Purchasing imported water or rights to imported water.

13 3. Acquiring or constructing water-related facilities in this state
14 to convey or deliver imported water within ~~the~~ THIS state.

15 4. Conducting investigations, including performing environmental or
16 other reviews.

17 5. Contracting for water needs assessments.

18 6. Providing financial assistance to eligible entities ~~for the~~
19 ~~purposes of financing or refinancing~~ TO FINANCE OR REFINANCE water supply
20 development projects within this state, including projects for
21 conservation through reducing existing water use or more efficient uses of
22 existing water supplies.

23 7. Guaranteeing debt obligations of eligible entities that are
24 issued or incurred to finance or refinance water supply development
25 projects within this state or providing credit enhancements in connection
26 with these debt obligations.

27 8. Paying the costs to administer the fund.

1 9. Funding not more than ten full-time equivalent positions of the
2 authority.

3 10. DEVELOPING ONE OR MORE BRACKISH GROUNDWATER RECOVERY PROJECTS
4 PURSUANT TO ARTICLE 6 OF THIS CHAPTER THAT CREATE NEW SOURCES OF POTABLE
5 WATER WITHIN THE BOUNDARIES OF THIS STATE.

6 B. In providing financial assistance from the LONG-TERM WATER
7 AUGMENTATION fund, the authority shall comply with section 49-1304.

8 C. Monies in the LONG-TERM WATER AUGMENTATION fund may not be used
9 to purchase conservation or other similar easements on real property.

10 D. If the monies pledged to secure long-term water augmentation
11 bonds issued pursuant to section 49-1309 become insufficient to pay the
12 principal and interest on the long-term water augmentation bonds
13 guaranteed by the LONG-TERM WATER AUGMENTATION fund, the authority shall
14 direct the state treasurer to liquidate securities in the LONG-TERM WATER
15 AUGMENTATION fund as ~~may be~~ necessary and shall apply those proceeds to
16 make current all payments then due on the long-term water augmentation
17 bonds. The state treasurer shall immediately notify the attorney general
18 and auditor general of the insufficiency. The auditor general shall audit
19 the circumstances surrounding the depletion of the LONG-TERM WATER
20 AUGMENTATION fund and report the findings to the attorney general. The
21 attorney general shall conduct an investigation and report those findings
22 to the governor and the legislature.

23 E. The authority shall take necessary actions to obtain full
24 repayment for monies or financial assistance provided from the LONG-TERM
25 WATER AUGMENTATION fund by the recipients of the funding or financial
26 assistance or the recipients of any water supply development project made
27 available from monies from the LONG-TERM WATER AUGMENTATION fund through
28 water subcontracts, loan repayments, rates, fees, charges or otherwise, as
29 appropriate. This subsection does not apply to monies spent by the
30 authority for investigations and studies or monies spent in connection
31 with loan guarantees or credit enhancement.

32 Sec. 2. Title 49, chapter 8, Arizona Revised Statutes, is amended
33 by adding article 6, to read:

34 ARTICLE 6. BRACKISH GROUNDWATER RECOVERY PROGRAM

35 49-1341. Brackish groundwater recovery program fund

36 A. THE BRACKISH GROUNDWATER RECOVERY PROGRAM FUND IS ESTABLISHED
37 CONSISTING OF ALL OF THE FOLLOWING:

38 1. MONIES APPROPRIATED BY THE LEGISLATURE.

39 2. MONIES RECEIVED FROM THE UNITED STATES GOVERNMENT FOR ANY
40 ALLOWABLE PURPOSE OF THE BRACKISH GROUNDWATER RECOVERY PROGRAM.

41 3. MONIES RECEIVED AS LOAN REPAYMENTS, INTEREST, ADMINISTRATIVE
42 FEES AND PENALTIES.

43 4. MONIES FROM ANY LAWFUL ACTIVITY OF THE AUTHORITY, INCLUDING
44 PUBLIC-PRIVATE PARTNERSHIP AGREEMENTS RELATING TO WATER SUPPLY DEVELOPMENT
45 PROJECTS.

46 5. INTEREST AND OTHER INCOME RECEIVED FROM INVESTING MONIES IN THE
47 BRACKISH GROUNDWATER RECOVERY PROGRAM FUND.

1 6. GIFTS, GRANTS AND DONATIONS RECEIVED FROM ANY PUBLIC OR PRIVATE
2 SOURCE FOR THE PURPOSES OF THE BRACKISH GROUNDWATER RECOVERY PROGRAM FUND.

3 B. MONIES IN THE FUND ARE CONTINUOUSLY APPROPRIATED AND ARE EXEMPT
4 FROM THE PROVISIONS OF SECTION 35-190 RELATING TO LAPSING OF
5 APPROPRIATIONS. ON NOTICE FROM THE AUTHORITY, THE STATE TREASURER SHALL
6 INVEST AND DIVEST MONIES IN THE FUND AS PROVIDED BY SECTIONS 35-313 AND
7 35-314.03, AND MONIES EARNED FROM INVESTMENT SHALL BE CREDITED TO THE
8 FUND.

9 C. ALL MONIES SHALL BE DEPOSITED, PURSUANT TO SECTIONS 35-146 AND
10 35-147, IN THE FUND AND SHALL BE HELD IN TRUST. THE MONIES IN THE FUND
11 MAY NOT BE APPROPRIATED OR TRANSFERRED BY THE LEGISLATURE TO FUND THE
12 GENERAL OPERATIONS OF THIS STATE OR TO OTHERWISE MEET THE OBLIGATIONS OF
13 THE STATE GENERAL FUND UNLESS APPROVED BY A THREE-FOURTHS VOTE OF THE
14 MEMBERS OF EACH HOUSE OF THE LEGISLATURE.

15 D. THE AUTHORITY SHALL ADMINISTER THE FUND. THE AUTHORITY SHALL
16 ESTABLISH AS MANY OTHER ACCOUNTS AND SUBACCOUNTS AS REQUIRED TO ADMINISTER
17 THE FUND.

18 E. NOT MORE THAN TEN PERCENT OF THE MONIES IN THE FUND MAY BE USED
19 TO COVER STAFFING AND ADMINISTRATIVE COSTS.

20 F. THE AUTHORITY SHALL USE THE MONIES AND OTHER ASSETS IN THE FUND
21 SOLELY FOR THE PURPOSES AUTHORIZED BY THIS ARTICLE.

22 49-1342. Brackish groundwater recovery program fund;
23 purposes; criteria; rules

24 A. THE AUTHORITY SHALL USE THE MONIES IN THE BRACKISH GROUNDWATER
25 RECOVERY PROGRAM FUND ESTABLISHED BY SECTION 49-1341 ~~[AND THE LONG-TERM~~
26 ~~WATER AUGMENTATION FUND ESTABLISHED BY SECTION 49-1302]~~ TO PROVIDE
27 MATCHING DOLLARS FOR THE DEVELOPMENT AND CONSTRUCTION OF QUALIFYING
28 BRACKISH GROUNDWATER RECOVERY AND DESALINATION PROJECTS WITHIN THIS STATE
29 ~~[BUT OUTSIDE THE BOUNDARIES OF AN INITIAL ACTIVE MANAGEMENT AREA]~~. NOT
30 MORE THAN \$1 SHALL BE AWARDED PER \$3 OF TOTAL CAPITAL EXPENDITURES PER
31 QUALIFYING PROJECT. NOT MORE THAN ONE QUALIFYING PROJECT SHALL BE AWARDED
32 MONIES PER REQUEST FOR PROPOSALS.

33 B. ~~[WITHIN ONE HUNDRED TWENTY DAYS AFTER THE EFFECTIVE DATE OF THIS~~
34 ~~SECTION,]~~ THE AUTHORITY ~~[SHALL ISSUE]~~ ~~[MAY NOT GRANT MONIES FROM THE~~
35 ~~BRACKISH GROUNDWATER RECOVERY PROGRAM FUND ESTABLISHED BY SECTION 49-1341~~
36 ~~WITHOUT FIRST ISSUING]~~ A REQUEST FOR PROPOSALS TO DEVELOP AND CONSTRUCT A
37 QUALIFYING BRACKISH GROUNDWATER RECOVERY AND DESALINATION PROJECT ~~[WITHIN~~
38 ~~THIS STATE]~~ ~~[PURSUANT TO THIS SECTION]~~.

39 C. ~~[WITHIN ONE YEAR AFTER THE EFFECTIVE DATE OF THIS SECTION,]~~ THE
40 AUTHORITY SHALL EVALUATE PROPOSALS THAT ARE SUBMITTED IN RESPONSE TO THE
41 REQUEST FOR PROPOSALS AND SELECT A ~~[PROPOSAL]~~ ~~[WINNING PROJECT]~~ FOR
42 ISSUING MATCHING DOLLARS ~~[BASED ON THE CRITERIA ADOPTED PURSUANT TO THIS~~
43 ~~SECTION]~~.

44 D. THE AUTHORITY SHALL GRANT MONIES PURSUANT TO THIS SECTION
45 CONTINGENT ON THE EXECUTION OF PROPOSED PROJECTS AND EXPENDITURE OF
46 CAPITAL COSTS WITHIN A TIME FRAME THE AUTHORITY DETERMINES FOLLOWING THE
47 AWARD OF MONIES.

1 E. ~~[NOT LATER THAN NINETY DAYS AFTER THE EFFECTIVE DATE OF THIS~~
2 ~~SECTION.]~~ THE AUTHORITY, IN CONSULTATION WITH THE DEPARTMENT OF WATER
3 RESOURCES, SHALL ADOPT RULES TO IMPLEMENT THIS ARTICLE. RULES ADOPTED
4 PURSUANT TO THIS ARTICLE SHALL ESTABLISH ALL OF THE FOLLOWING:
5 1. THE MINIMUM CRITERIA THAT A PROJECT MUST MEET TO QUALIFY FOR
6 MATCHING MONIES.
7 2. THE MINIMUM INFORMATION THAT A QUALIFYING BIDDER MUST INCLUDE
8 WITH A PROPOSED PROJECT TO BE CONSIDERED FOR EVALUATION, INCLUDING ALL OF
9 THE FOLLOWING:
10 (a) DESIGN AND ENGINEERING STUDIES OR REPORTS.
11 (b) SITE LOCATION, RIGHT-OF-WAY AND LAND OWNERSHIP INFORMATION.
12 (c) DEPTH-TO-WATER, SALINITY LEVELS AND OTHER HYDROLOGICAL
13 INFORMATION.
14 (d) WITHDRAWAL PERMIT AND GROUNDWATER RIGHTS AND ACCESS
15 INFORMATION.
16 (e) THE METHOD OF BRACKISH GROUNDWATER RECOVERY, TREATMENT AND
17 DESALINATION.
18 (f) THE METHOD OF DESALINATION BRINE DISPOSAL.
19 (g) THE TOTAL VOLUME OF BRACKISH GROUNDWATER EXPECTED TO BE
20 DESALINATED.
21 (h) THE TOTAL PROJECT CAPACITY AND EXPECTED OUTPUT.
22 (i) THE PROXIMITY TO LIKELY OFFTAKERS AND THE PROPOSED METHOD OF
23 TRANSPORTATION OR DELIVERY OF TREATED BRACKISH GROUNDWATER TO THE
24 OFFTAKERS IN THE BASIN.
25 (j) THE TOTAL ESTIMATED CAPITAL COST FOR THE PROJECT.
26 3. THE MINIMUM CRITERIA THAT THE AUTHORITY WILL USE TO EVALUATE THE
27 FEASIBILITY AND VIABILITY OF QUALIFYING PROJECTS SUBMITTED IN RESPONSE TO
28 A REQUEST FOR PROPOSALS AND TO SELECT A WINNING PROJECT. THE CRITERIA TO
29 SELECT A WINNING PROJECT SHALL INCLUDE ALL OF THE FOLLOWING:
30 (a) THE COST-EFFECTIVENESS OF THE PROJECT.
31 (b) THE RELIABILITY AND LONG-TERM SECURITY OF THE WATER SUPPLY TO
32 BE DEVELOPED THROUGH THE PROJECT.
33 (c) THE IMPACT TO THE REGIONAL AQUIFER AND LOCAL WATER USERS FROM
34 THE PROJECT'S BRACKISH GROUNDWATER WITHDRAWALS.
35 (d) THE IMPACTS TO THE REGIONAL AQUIFER AND LOCAL WATER USERS FROM
36 THE PROJECT'S BRINE DISPOSAL.
37 (e) COMMENTS FROM WATER USERS, LOCAL RESIDENTS AND AFFECTED
38 JURISDICTIONS.
39 4. THE MINIMUM CRITERIA THAT A BIDDER MUST SATISFY TO QUALIFY FOR
40 PARTICIPATION IN THE PROGRAM AND TO SUBMIT PROPOSALS IN RESPONSE TO A
41 REQUEST FOR PROPOSALS.
42 5. THE MINIMUM CRITERIA THAT THE AUTHORITY WILL USE TO EVALUATE THE
43 TECHNICAL, FINANCIAL AND MANAGERIAL CAPABILITIES OF A QUALIFYING BIDDER
44 THAT SUBMITS A PROPOSAL IN RESPONSE TO A REQUEST FOR PROPOSALS.

House Amendments to H.B. 2055

- 1 Enroll and engross to conform
- 2 Amend title to conform

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